Research Evolution — NVIDIA (NVDA), Project 1

Edition A — unchanged Brightspace baseline

Submitted to the Project 1 Edition A checkpoint on 3 Sep 2026 (Lab 03). Brightspace receipt / attempt identifier and timestamp: **[fill in]**. The file below is `NVDA_2026-09-03_report.md` exactly as committed on 3 Sep 2026 (commit `983a272`); it has not been modified. Attestation (Jess Tran): the first successful Brightspace receipt is the baseline of record; the file footer discloses the Lab 03 drafting support used. Receipt ID and timestamp: **[fill in from Brightspace]**.

NVIDIA Corporation (NASDAQ: NVDA)

Company Research Report

Recommendation: Watch-defer
Reader: The fund's investment committee
Valuation date: February 25, 2026
Information cutoff: February 25, 2026

> **Citation convention:** Full citations appear on the Citation Page at the end. Claims without a supplied source are marked `UNSOURCED` rather than supplemented.

Executive Conclusion

NVIDIA merits continued research because fiscal 2026 revenue reached $215.938 billion and operating income reached $130.387 billion.

I recommend that the committee defer initiation until the valuation bridge is completed with a verified market price and a consistent treatment of NVIDIA's marketable securities. The updated filing establishes a strong operating result and a net-cash balance under the narrow cash definition, but those facts alone do not establish that the equity offers an adequate prospective return at the market price. **[U1]**

The evidence currently supports operating strength, but the report does not yet contain a verified valuation-date share price, a defensible forward earnings or cash-flow estimate, or enough evidence about the durability of demand and margins to estimate expected return. **[U1]**

Company and Filing

NVIDIA Corporation is identified by ticker NVDA and CIK 0001045810. The primary filing is the Form 10-K for the fiscal year ended January 25, 2026. The filing accession is 0001045810-26-000021. The report uses the February 25, 2026 filing date as the valuation date and does not use information published after that date.

Operating Evidence

Unless otherwise noted, dollar and share amounts below are in millions of U.S. dollars; per-share data is stated per share.

Item	Fiscal 2026 evidence	Relevance	Citation
Revenue	$215,938	Initial operating-value driver and evidence of business scale	
Operating income	\$130,387	Evidence that revenue translated into operating profit	
Cash and cash equivalents	\$10,605	Non-operating asset in the enterprise-to-equity bridge	
Available-for-sale debt securities	$39,520	Potential additional non-operating asset, subject to classification review	
Short-term debt	$999	Current debt claim in the enterprise-to-equity bridge	
Long-term debt	\$7,469	Noncurrent debt claim in the enterprise-to-equity bridge	
Basic weighted-average shares	24,359	Starting denominator for diluted-share reconciliation	
Diluted weighted-average shares	24,514	Fiscal-year diluted earnings denominator	

Item	Fiscal 2026 evidence	Relevance	Citation
Diluted EPS	\$4.90	Cross-check: net income divided by diluted weighted-average shares	

The filing reports 24,359 million basic weighted-average shares and 24,514 million diluted weighted-average shares, an incremental difference of 155 million shares. This is an income-statement denominator, not automatically the correct point-in-time share count for equity value.

Preliminary Valuation Bridge

Using only cash and cash equivalents, the preliminary bridge is:

> Enterprise value = equity value + \$8,468 debt - \$10,605 cash
> Enterprise value = equity value - \$2,137

If all \$39,520 million of available-for-sale debt securities were also treated as excess cash, enterprise value would instead equal equity value minus \$41,657 million. That classification remains an assumption to test, not a settled conclusion.

Assumptions and Unknowns

1. February 25, 2026, is an appropriate information cutoff for this baseline.
2. Cash and cash equivalents are available to equity holders and can be subtracted in the enterprise-value bridge.
3. Debt is measured at its \$8.468 billion carrying amount; differences between carrying value and market value are not yet material to this preliminary decision.
4. Available-for-sale debt securities will be subtracted only after determining how much is excess to operating and liquidity needs.
5. Fiscal 2026 revenue is evidence of operating scale, but it is not by itself a forecast of sustainable growth.
6. Weighted-average diluted shares provide dilution evidence but must not replace a valuation-date, point-in-time diluted share count without reconciliation.
7. An attractive company is not necessarily an attractive investment; initiation requires expected return at the observed market price. **[U1]**

Important unresolved questions include NVIDIA's verified closing share price and resulting equity value on February 25, 2026; the correct point-in-time diluted share count; how much of the \$39.520 billion in available-for-sale debt securities is excess liquidity; sustainable revenue growth after fiscal 2026; the durability of Data Center demand; sustainable margins; reinvestment needs; free-cash-flow conversion; customer concentration; supply constraints; competitive responses; and export-control effects on future cash flows. **[U1]**

The report also notes a claim that NVIDIA is switching consumer RTX graphics cards to reduced operating voltages through a driver update to address hardware stability. The associated implication is that this would reduce copper demand while data-center development requires large amounts of copper. This claim and implication are included for research follow-up and are not verified by the updated 10-K. **[U2]**

Research Required Before Initiation

1. Verify NVDA's February 25, 2026 closing price from a reliable market-data source and calculate point-in-time equity value. **[U1]**
2. Reconcile shares outstanding, weighted-average diluted shares, and potentially dilutive awards to construct a valuation-date diluted share count. **[U1]**
3. Review the 10-K notes to classify cash and available-for-sale debt securities consistently and complete both narrow-cash and broad-liquidity enterprise-value bridges. **[U1]**
4. Build historical revenue, margin, tax, reinvestment, and free-cash-flow series from NVIDIA's filings. **[U1]**
5. Separate revenue by end market, concentrating on Data Center growth, customer concentration, product transitions, supply capacity, and export-control exposure. **[U1]**

6. Develop base, upside, and downside operating forecasts with explicit revenue-growth, margin, reinvestment, and dilution assumptions. **[U1]**
7. Value the operating business using a discounted-cash-flow model and cross-check it against relevant trading multiples. **[U1]**
8. Compare estimated intrinsic equity value with the valuation-date market value, run sensitivity analysis, and define evidence that would change the watch-defer decision. **[U1]**

Falsification Question

What evidence would demonstrate that fiscal 2026 Data Center demand reflects a temporary concentration of accelerated customer spending rather than a durable level of end demand capable of supporting NVIDIA's current revenue growth and operating margins? **[U3]**

Call

Watch-defer. The call would change when the valuation bridge is completed with a verified February 25, 2026 market price, a reconciled point-in-time diluted share count, and a consistent, evidence-based treatment of NVIDIA's available-for-sale debt securities that supports an adequate prospective return. **[U1]**

Citation Page

Filing and Analysis Sources

[S1] NVIDIA Corporation, Form 10-K for the fiscal year ended January 25, 2026. Filing item: Consolidated Statements of Income, Consolidated Balance Sheets, and notes on debt securities and share dilution. Filing page: `UNSOURCED` because the supplied MHTML does not provide a stable page reference. Outlet: SEC. Filing date: February 25, 2026. Updated SEC filing

[S2] SEC accession record. Outlet: SEC. Date: February 25, 2026. Accession: 0001045810-26-000021. Accession record

[S3] Author's judgment and calculations based on S1. Filing item and page: `UNSOURCED`; outlet and date: `UNSOURCED`; call date: `UNSOURCED`.

Unsourced Claims

[U1] UNSOURCED. No filing item/page, outlet/date, or call date was supplied for the claim or analysis marked with this citation.

[U2] UNSOURCED. The consumer RTX reduced-voltage driver-update claim and the associated copper-demand implication were supplied without a filing item/page, outlet/date, or call date.

[U3] UNSOURCED. Partner-generated falsification question; call date was not supplied.

This report was written for FIN 43900 (AI Finance Applications, Purdue) as a learning exercise. It is not investment research and it is not financial advice.

AI assistance: drafted with ChatGPT/Codex, resumed from my Lab 03 session; sources gathered and verified by me; the judgments are mine.

Any remaining errors are my own.

Dated correction addendum

None. Edition A's unsourced markers (U1–U3) were resolved by later research rather than corrected; Edition A stands as written.

Edition B — after project-specific research and disclosed AI assistance (19 Oct 2026)

Current decision and intended user

Do not initiate NVIDIA at $225.51 (23 Sep 2026); keep on watch. For the buy-side investment committee with no position. Value per share **$124 base, $80–$187 across causal low and high cases** on an FCFF DCF driven by a five-year three-statement pro-forma (WACC 11.99%, terminal growth 3%, 24,195m diluted shares). Initiate only if the price falls below the base case with the checks passing, or if two quarterly reports lift the high case above the price. Reversal triggers: Data Center revenue down quarter on quarter; gross-margin guidance below 72% and falling; opex growing faster than revenue for two quarters; a bridge that fails to reconcile on the next 10-Q.

A-to-B evidence table

Item	Edition A (3 Sep 2026)	Edition B (19 Oct 2026)	Primary driver of change	Evidence / test justifying the changed or unchanged position
Thesis / recommendation	Watch-defer: operating strength proven, but no verified price, forecast or return estimate yet	Do not initiate at $225.51; keep on watch, with a range ($80–$187), conditions and triggers	own analysis (the pro-forma and FCFF DCF), sharpened by an AI-generated challenge (Claude, Lab 12: "does the base case ever consider AI stalling?")	Base $124 vs price $225.51; the high case ($187, a full rerun with checks passing) sits below the price; reverse DCF: the price needs +24 pp growth a year or an 8% cost of equity. The posture is the same as Edition A; the evidence behind it changed from "not yet measurable" to "measured and below the price"
Data / source choice	FY2026 10-K only (accession 0001045810-26-000021); no verified price; share count unresolved	FY2024–FY2026 10-Ks, Q1–Q2 FY2027 10-Qs, the Q2 FY2027 release, SEC XBRL for NVIDIA, AMD and Broadcom, Nasdaq closes to 23 Sep 2026; 24,100m shares outstanding + 95m dilution; bridge dated at the pro-forma opening date	course instruction (Labs 4–8 on evidence, bridge, comps) and own analysis	Every input in `docs/evidence-ledger.csv` with locator and independent check (XBRL vs filing text agree on every load-bearing line); marketable securities 51,951 decomposed as 39,065 debt + 12,886 equity from the 10-Q comparative column
Assumption / model design	Preliminary bridge only (EV = equity – 2,137 narrow-cash); the key unknowns listed (growth, margin durability, reinvestment, dilution, marketable-securities classification)	Three-statement pro-forma with 22 labelled assumptions; FCFF = EBIT(1 – t) + D&A + SBC – capex – ΔWC; nine exposed drivers with defended bounds; the rest locked	course instruction (Week 5–6 pro-forma method) + own analysis (NVIDIA-specific lines: SBC, self-funded working-capital build, investment portfolio, no floor plan) + AI assistance (engine generation, checked on the ABG known answer)	Known answers: training DCF to four decimals, ABG $291.75; articulation 0.0 every year; base-year reconciliation; `--break` refuses; FCFE $123.05 vs FCFF $123.93 agree because net debt is near zero
Risk / limitation / uncertainty	Unknowns: price, diluted count, excess liquidity, growth durability, customer concentration, export controls, the copper claim (U2)	Quantified: the growth path after FY2027 is the valuation (span $170 at the bounds vs $101 for the cost of equity and $36 for margin); 67.6% of EV is terminal; 36% customer concentration; the 53-week FY2027; the opening-date vs price-date gap (about 8%); the copper claim dropped as unverifiable and immaterial to the decision	own analysis (Lab 11 sensitivities, the Locked Changed-Input Record) + peer challenge (AI-collapse scenario → the low case moves four drivers together)	Locked record: predicted growth ≈ 3× margin, 15–20% fall; actual 2.6×, –12.6%, direction and order right, size reconciled (FY2027E held fixed; working-capital offset). Ranking stable across three range choices

What changed from Edition A to Edition B, and why?

The **action did not change** — watch/defer in Edition A, do-not-initiate-at-this-price-and-watch in Edition B — but what stands behind it did. Edition A deferred because nothing was measured: no verified price, no share count, no forecast.

Edition B defers because everything was measured and the measurement says the price pays for more than the filings show. Three things drove the movement:

1. **Course instruction** gave the method: the FCFF/WACC architecture, the pro-forma as a labelled assumption set with a check block, the frozen peer policy, the one-at-a-time sensitivity and the reverse DCF. Without it Edition A's unknowns would have stayed a list.
2. **Own analysis** supplied the numbers and the judgments: the FY2027E build from guidance, the 25 → 4% deceleration, the 74.5 → 70% margin drift, the 12% cost of equity against a measured 13–14.8%, and the decision to date the bridge at the opening balance sheet rather than the newer 10-Q so that no cash flow is counted twice.
3. **AI-generated challenge** (no human partner) changed the shape of the downside. An AI review (Claude) using an Apple comparison ("Apple gives up growth for stability; what happens to NVIDIA if AI stalls?") turned a ±5 pp sensitivity into a low case that moves growth, margin, opex and the discount rate together ($80) and set the –25 pp growth bound as the "AI capex stops" case.

AI's part was acceleration with checks, not judgment: it generated the engine from my request (checked on the ABG known answer), built the Project 1 layer (checked on the training-case DCF and 17 tests), and proposed three things I did not accept as proposed — the July 2026 balance sheet for the bridge (corrected: double counting), non-marketable securities as a bridge asset (rejected: no observable price), and dropping AMD from the comps (qualified instead: kept under the frozen policy, reported, marked not meaningful). Each disposition is in `docs/validation-and-ai-use.md`.

What I would have to see to change the call: two quarters of Data Center growth and margin guidance consistent with a 35 / 22 / 17 / 14% path (the high case), or a price below $124. Both are observable by February 2027.